

Deciding where to invest¹

You work for the Toshoya Bank, which has its head office in Tokyo and branches around the world. It is one of the ten biggest banks in the world. You are meeting today to discuss major investment projects. These are the projects in which are considering investing:

1. A dam for hydroelectricity
2. An irrigation and water supply project
3. A shipyard
4. A road bridge in Canada between Ontario and Québec

You want to choose the most suitable project. You must in particular consider:

- the political stability in the country concerned
- the viability of project
- the return on investment
- the duration of the loan
- who your partners will be
- exchange rate variations
- guarantees

You must decide:

- a) which is the most promising project for the bank
- b) for which project the bank should begin detailed negotiations

Projects					
Project	Country	Estimated Cost in \$US	Estimated Duration	Probable Partners	Estimated Yield
Dam for hydroelectricity	Malaysia	500 million	5 years	Malay International Bank	7%
Irrigation and water supply	Senegal	290 million	1 year	World Bank, European Union	9%
Shipyard	South Korea	360 million	2 years	None	6%
Road bridge	Canada	475 million	4 years	Canadian Government	5%

¹ Crowther-Alwyn, J. Business Role Plays 2 Cambridge University Press

Worksheet

	Malaysia	Senegal	South Korea	Canada
Political stability				
Viability				
Return on investment				
Duration of the loan				
Partners				
Exchange rate mechanisms				
Guarantees				
Other criteria				